

Subject Code	AF5625
Subject Title	Chinese Economy and Business Strategies
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This subject provides (1) basic knowledge in the macro- and micro- aspects of Chinese economy including managerial economics, industrial organization and business strategy; (2) systematic knowledge and economic reasoning of the development, reform and operation of the Chinese economy. (3) understanding the operation of financial institutions and the Fintech development in China. It contributes to the achievement of China Business Studies program outcomes by enabling students to <u>evaluate developments in the Chinese business environment and their impact on both domestic and foreign business organizations</u> (MSc in CBS Outcome 1a) <u>and to demonstrate an understanding on the applications of data science in business analysis in Chinese business environment</u> (MSc in CBS Outcome 1b); and to identify and analyse ethical issues related to doing business in China. (MSc in CBS Outcome2).
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Be equipped with microeconomic and macroeconomic principles to analyze economic and business problems in the global market. - Apply theoretical tools to evaluate the business decisions taken with respect to the changing business environment in China, with due consideration on ethical issue in doing business. - Describe the development and operation of the Chinese economy and analyze the effects of government policies on Chinese business environment. - Apply statistical methods to analyze data and critically interpret statistics to gain a better understanding of the Chinese economy and business environment.

Subject Synopsis/ Indicative Syllabus	Overview of the Chinese Economy: Past and Present Modern Chinese economic history; Timeline of economic reforms and institutional changes; Political economy of modern China; Roles of markets and government; China and the world Crash Course on Statistical Methods Descriptive statistics; sampling; linear regression models; panel regressions; time series data Economics Growth and Structural Transformation Economic growth models; Middle-income trap; Chinese economic growth miracle and challenges ahead; Theory of structural change and evolution of Chinese economy Spatial Economics Internal migration and the <i>hukou</i> policy; regional inequality; Place-based policies; Infrastructure and regional development Demographic and Family Economics Population aging; Family formation; Fertility Public Finance and Inequality Introduction to public finance; Income and wealth inequality; Government spending and public debt in China Fiscal and Monetary Policy ISLM model; ADAS model; Fiscal policy; Money and banking; Real effects of monetary policy and transmission mechanisms; the People's Bank of China and monetary policy instruments Open Economy and Exchange Rate Introduction to international economics; Exchange rate management in China; RMB internalization; Capital control and capital account liberalization; Foreign trade and FDI Innovation and Entrepreneurship Entrepreneurial finance; Intellectual Property Rights; R&D Institutions; Digital economy; Education policy Market Structure and Firm Dynamics Market competition; Monopoly; Firm dynamics; State-owned enterprises
Teaching/Learning Methodology	This subject will be taught in both lecture and seminar formats. Students are required to do projects on topics related to Chinese economy, and to participate actively in discussions in the class.

Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th>Specific assessment methods/tasks</th><th>% weighting</th><th>a</th><th>b</th><th>c</th><th>d</th></tr><tr><td>1. Continuous Assessment</td><td>50%</td><td>√</td><td>√</td><td>√</td><td>√</td></tr><tr><td>2. Final examination</td><td>50%</td><td>√</td><td>√</td><td>√</td><td>√</td></tr><tr><td>Total</td><td>100 %</td><td></td><td></td><td></td><td></td></tr></table>						Specific assessment methods/tasks	% weighting	a	b	c	d	1. Continuous Assessment	50%	√	√	√	√	2. Final examination	50%	√	√	√	√	Total	100 %				
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	1. Continuous Assessment	50%	√	√	√	√																								
	2. Final examination	50%	√	√	√	√																								
	Total	100 %																												
Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Coursework – coursework may take the form of group presentations and individual essay. Group presentations will require students to analyze and discuss the problems or challenges that the Chinese economy faces. Individual essay is used to reinforce this subject’s learning outcomes on an individual basis. Final examination – 3 hours examination with essay questions. Students are required to demonstrate a good knowledge on the evolution of Chinese economy and apply economic principles to analyze particular issues in Chinese economy. To reflect the significant technology content in this subject, 10% (or more) of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.																														
Student Study Effort Expected	Class contact:																													
	▪ Lectures / Seminars		39 Hrs.																											
	Other student study effort:																													
	▪ Depends on their backgrounds, on average students are expected to spend around 2 more hours for each contact hour for reading subject materials, preparing discussion questions and course projects.		78 Hrs.																											
	Total student study effort		117 Hrs.																											

Reading List and References

Key References

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